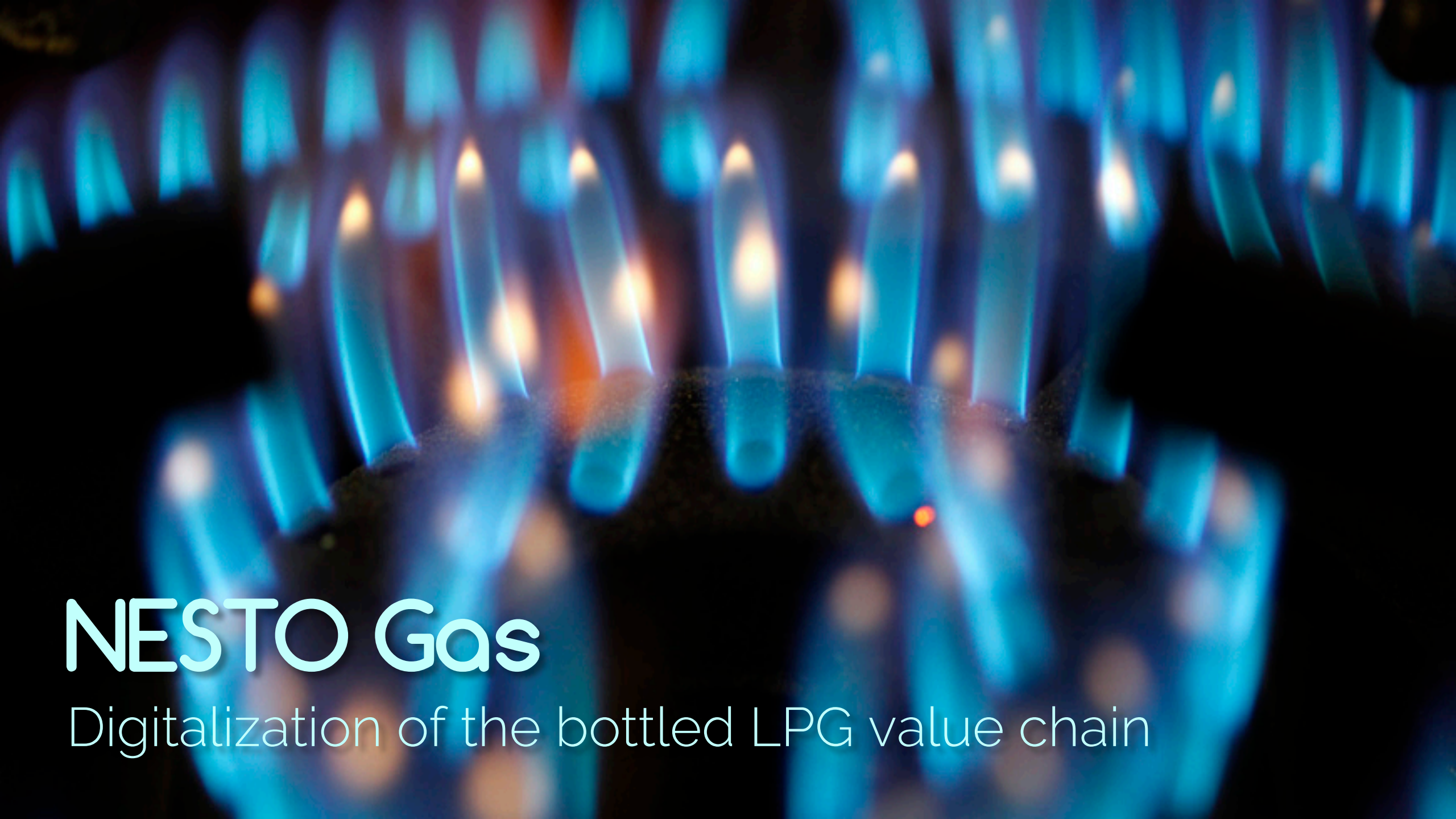

NESTO Gas
Digitalization of the bottled LPG value chain

# Can you tell the difference?




Neither does she... Cold shower syndrome

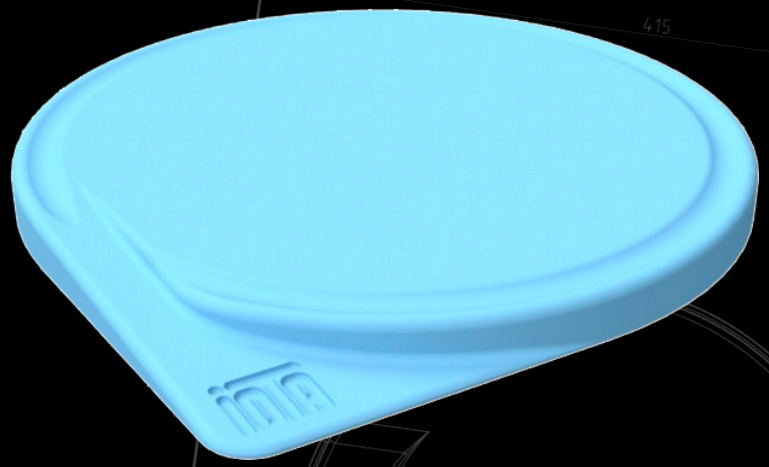


LPG companies want you
to think they are like this …

But it’s actually more like this…

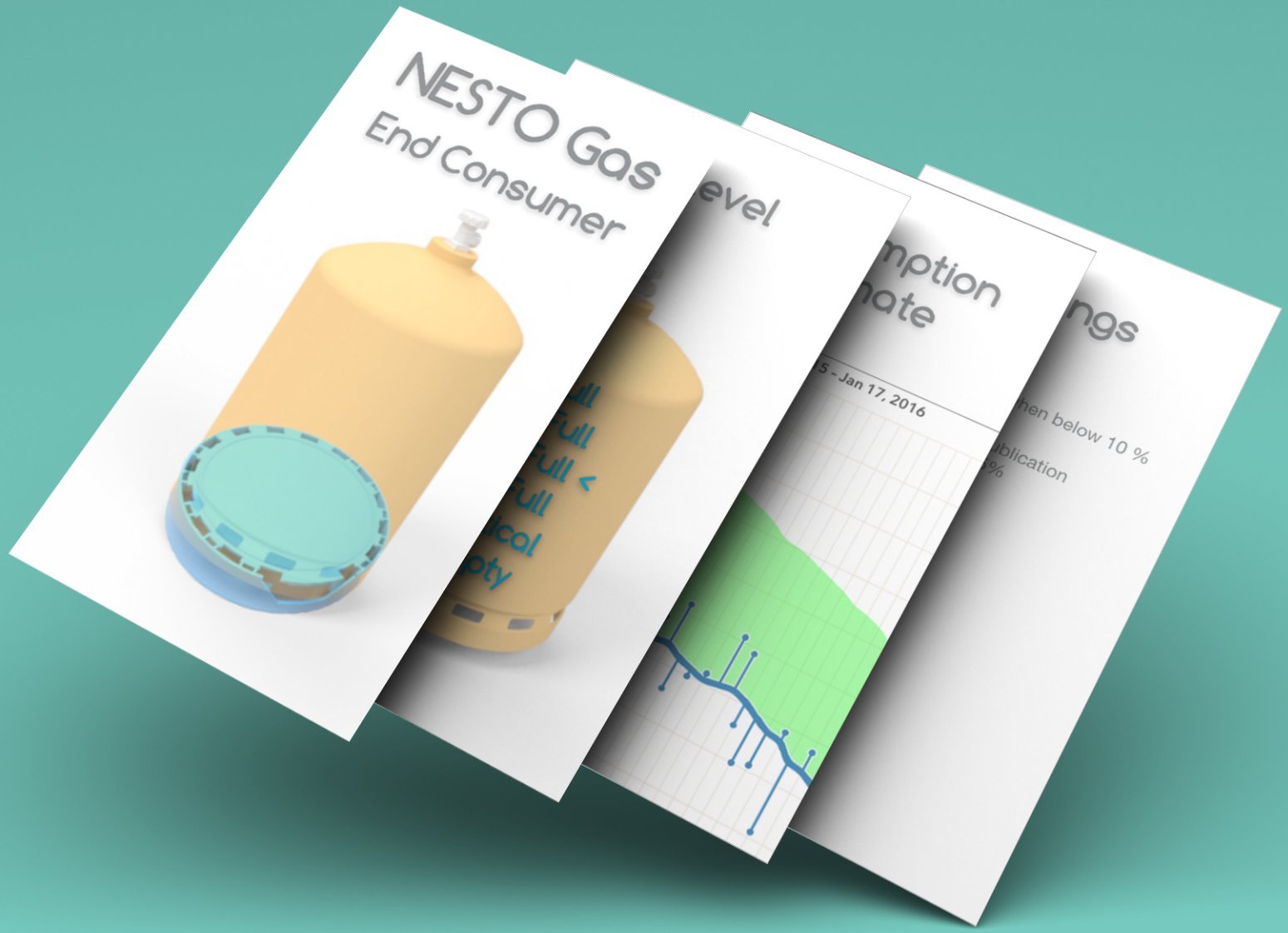


# Never run out of gas ever again...





- A smart battery-powered weight scale with IoT connectivity
- A mobile app for consumers & distributors
- A back-end with predictive analytics and routing capabilities




# App for End-Consumers

- Current gas level indication
- Gas duration based on use
- Scheduling doorstep delivery

# Added Value Everywhere

## End Consumer

- Current level indication with alarm configuration
- Scheduling doorstep delivery with real-time follow-up
- Leak detection by smart measuring techniques

## Brand

- Improve customer retention
- Reduction of gas cylinder inventory to cover new customers
- Direct channel to end-user through the mobile application

## Distributor

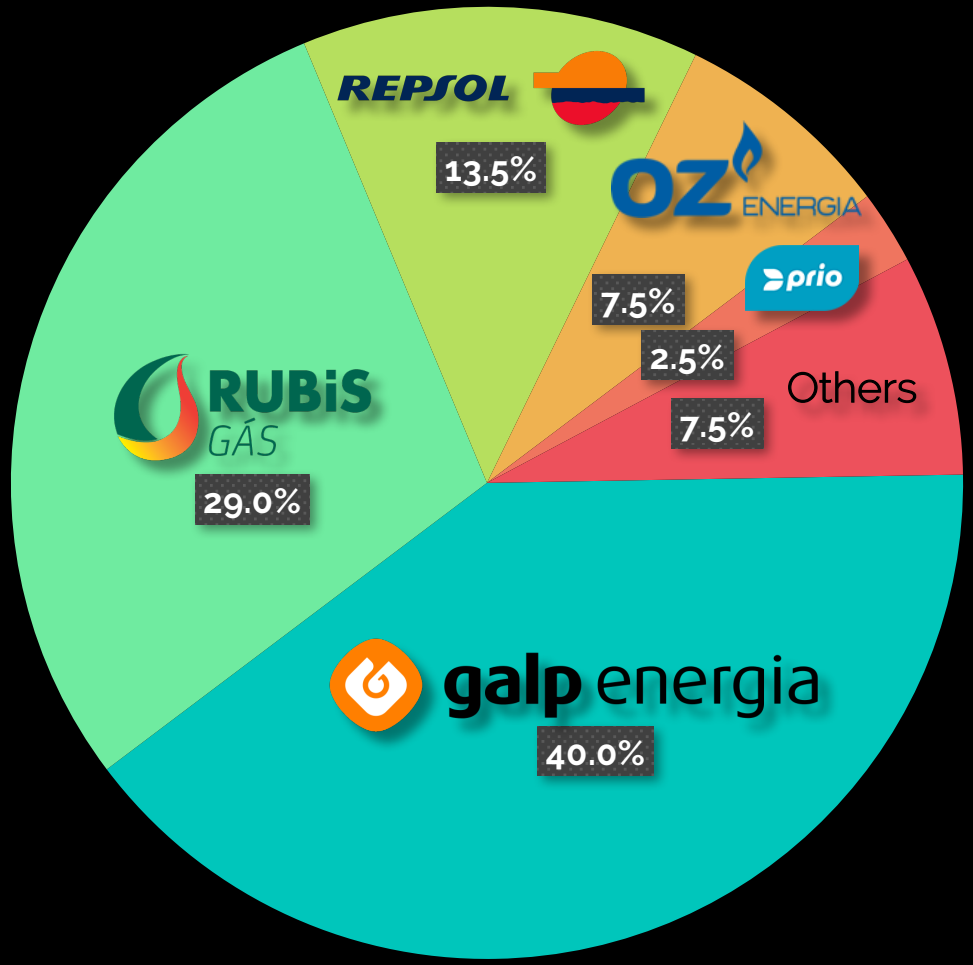
- Dynamic optimized delivery route (-30% in distribution cost)
- Automated pre-delivery check to insure customer presence
- Accommodate manual delivery to ease market penetration

# Business model - B2B

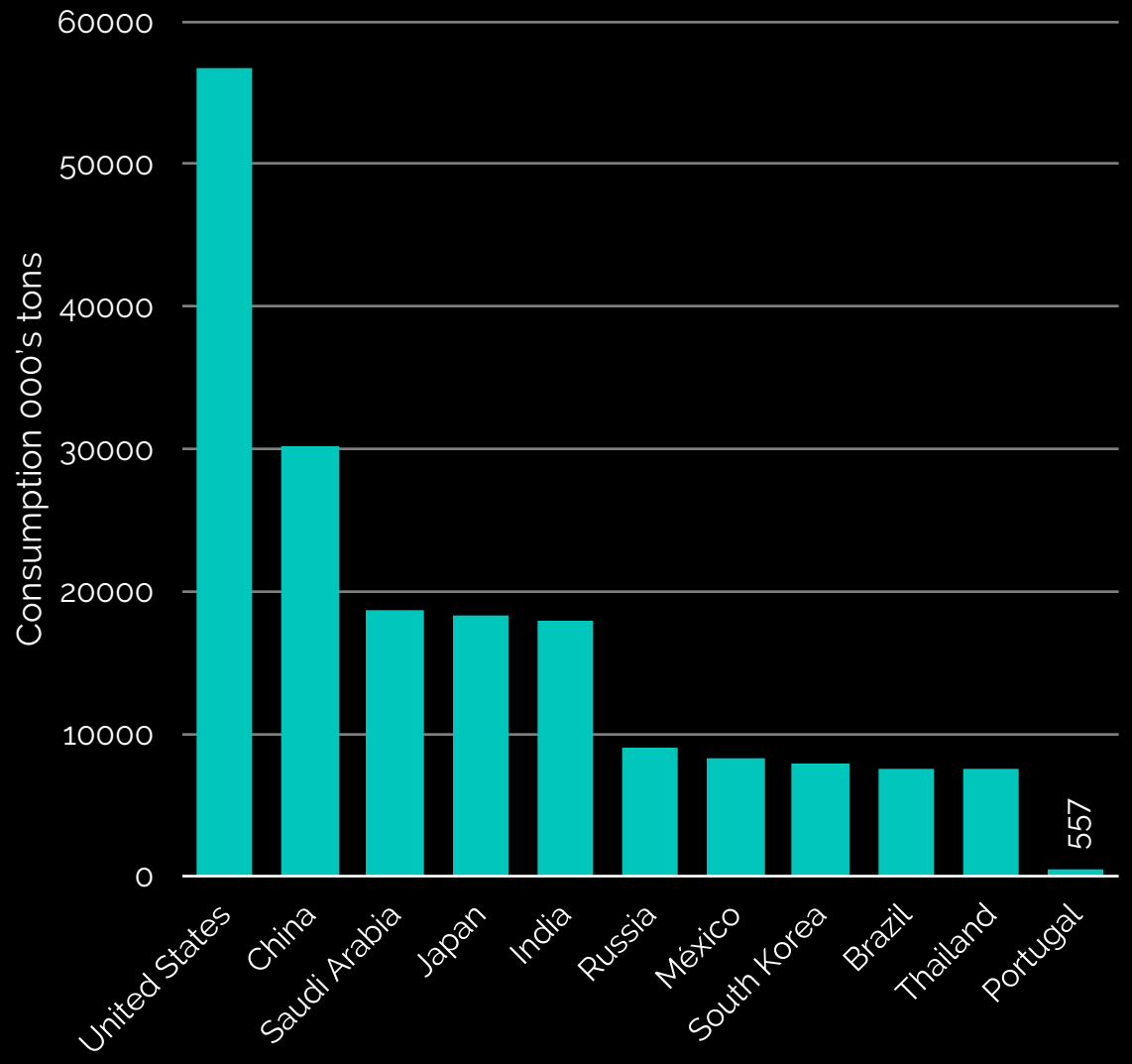
- NESTO scale is paid by LPG brand ~25 €
  (eventually charged back to end-consumer as a deposit)
- NESTO service fee per delivery
- Access to platform per distributor / per month



# Portugal – 659 M€




# World – 266 B€



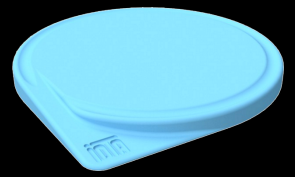

**Sources:** Transparent Market Research 2014

# Some Figures for Portugal

- 58 % of the total consumption in gas is from bottled LPG
- Highest LPG consumption per capita in EU
- 3rd highest price in EU

**Source**: DECC Consumer association (2015)

# Competition

| | Nesto<br>by Iota | GasSense<br>by George Edwards | SkyBlitz | Gascale<br>by Mabe | Refuel<br>by Quirky |
|---|---|---|---|---|---|
| |  |  |  |  |  |
| What ? | SIGFOX<br>Connected Scale | BLE Magnetic Linear<br>Temperature Sensor | GPRS Connected<br>Pressure Sensor | BLE<br>Connected Scale | Wi-Fi<br>Connected Scale |
| Pro | • Doesn't depend on user connectivity | • Smart & un-obstructive | • Usable for tank as well | • Free* | • Cheap |
| Cons | | • Only for metallic bottle<br>• Not accurate | • Expensive | • Only in Ecuador | • Only for BBQ<br>• Wi-Fi Only<br>• Not accurate |
| Price | 39€ | 40 € | 8€/month | - | 14 € |
| Business Model | Platform | One Shot / B2C | Platform | One Shot / B2B | One Shot / B2C |

# Differentiator

- A service, not a product
- Strategically positioned between the end-user and the brand
- Holistic approach

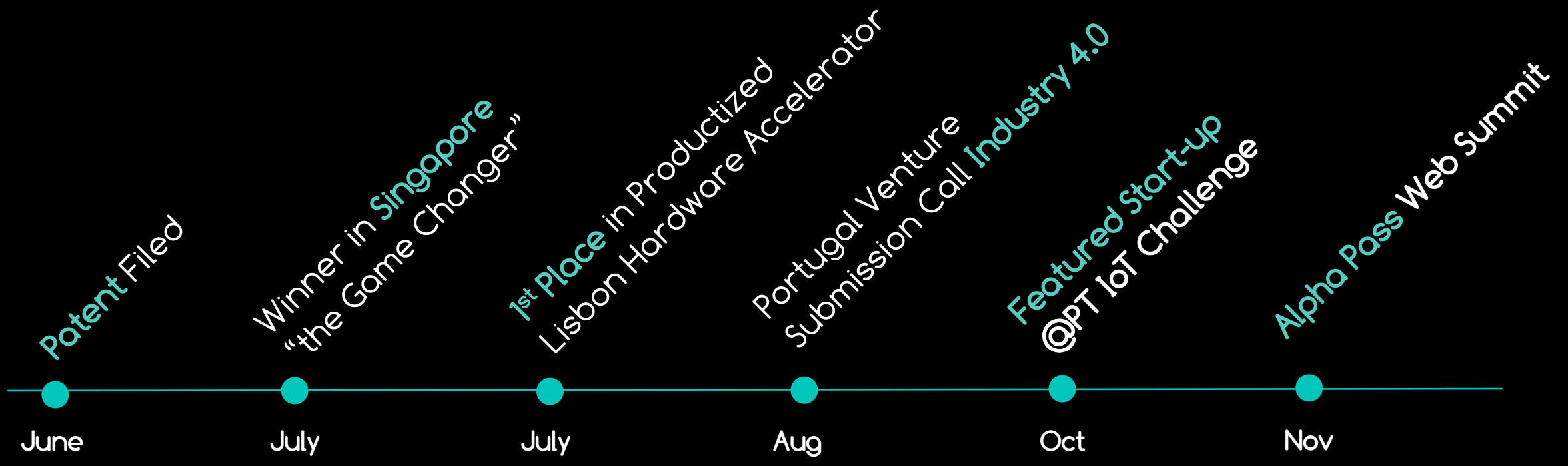
# Go to Market Strategy

- Phase 1 – Large LPG cylinder in rural area (with brand exclusivity)
- Phase 2 – Small LPG cylinder
- Phase 3 – Smart rack for service station and small self-service distribution point

# The secret sauce

- Experienced industrial partners;
- The one-bottle model could allow brands to increase profit;
- Security features (leak, usage pattern detection);
- Holistic view of the bottle LPG supply-chain (complete range of product);
- Angle on nanotech (1000 x less consumption & 10 x more sensible);

# Traction


Patent Filed
June
Winner in Singapore "the Game Changer"
July
1st Place in Productized Lisbon Hardware Accelerator
July
Portugal Venture Submission Call Industry 4.0
Aug
Featured Start-up @PT IoT Challenge
Oct
Alpha Pass Web Summit
Nov
ENGIE
NANYANG TECHNOLOGICAL UNIVERSITY
SIGFOX
PRODUCTIZE.IT
MAKE VISIBLE
with KIC InnoEnergy
PORTUGAL VENTURES
Growing.Global
StartUP Portugal
CALL i4.0
INDÚSTRIA 4.0
IoT CHALLENGE PT
Develop the future
ALPHA STARTUP
web summit
LISBON, NOVEMBER 7-10, 2016

# SCTN / Industry Partner

**NDA & MoU**

- Provide ready-to-use communication module for the **Pilot**
- Provide access to their **IoT platform**
- Later access to international partners through their network

**NDA**

- Provide access to **validated** suppliers for strain gauge
- Open to be the partner for **industrialization** (facilities in Ningbo, China)

**NDA & Former relationship**

- Will provide the route optimization of the pilot for free

**NDA**

- Proposal to raise defensibility of the product by integrating nanotechnology for cheap weight sensing

# Team



## Michaël Memeteau

M2M/IoT Specialist
Co-Founder of the first Portuguese fleet management application
2 x Entrepreneur



## Andre Marquet

Engineer. Product manager. Lecturer. Co-founder of Beta-i and Producer of Productized Conf.



## Pedro Filipe

Business Developer with proven track of records in complex project management and Logistics

# Next steps

## Tech

- Field coverage test
- Pilot with a national player
- Mobile app development & back-end integration
- Product development & Industrialization

## Business

- Refine financials & business model
- Apply for Portugal 2020
- Get customers
- Get grant for research with INL
- Complete IP & Rise defensibility

# Investment

| Milestone (end of the month) | Deliverables | Price/Unit | Funding needs* | Portugal Ventures Investment ** | Promotor's Investment *** | Investment by other Investors |
|---|---|---|---|---|---|---|
| December 2016 | Functional Prototype | | €60 000,00 | €40 000,00 | €15 000,00 | €5 000,00 |
| March 2017 | SIGFOX Certification | | €20 000,00 | €20 000,00 | €- | €- |
| June 2017 | Pilot Run - 1st Batch 100 | | €25 000,00 | €25 000,00 | €- | €- |
| June 2017 | Molds (final) | | €30 000,00 | €30 000,00 | €- | €- |
| September 2017 | Customer Approval | | | | €- | €- |
| November 2017 | Mass Production - 2nd Batch 500 | 100 € | €50 000,00 | €25 000,00 | €- | €25 000,00 |
| December 2017 | Mass Production - 3rd Batch 2500 | 50 € | €125 000,00 | €25 000,00 | €- | €100 000,00 |
| March 2018 | National Roll-out (1st Phase) | | €700 000,00 | €335 000,00 | €365 000,00 | €- |
| TOTAL | | | €1 010 000,00 | €500 000,00 | €380 000,00 | €130 000,00 |

# Exit strategy

- When?
  Between 4 to 6 years (when consolidated in Portugal and at least one large market has been won, ex.: Mexico, Brazil, Thailand) & growth rate is looking good
- How?
  More likely by Acquisition (or eventually M&A) than IPO
- For how much?
  6M€ is a minimum according to projections

# Contact

Michaël MEMETEAU

mmemetea@gmail.pt

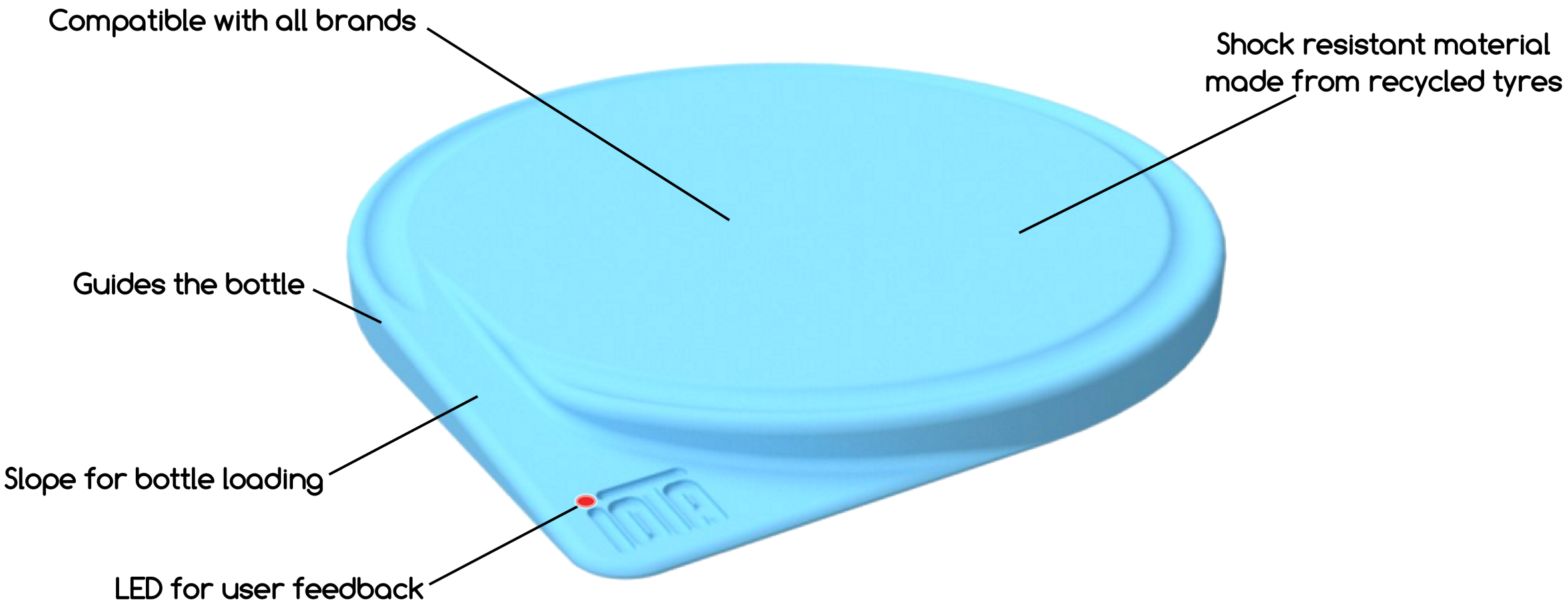
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+351 21 887 04 87



# Additional Support Material

# NESTO Hardware



# Europe Market

## Top-10 LPG markets in EU

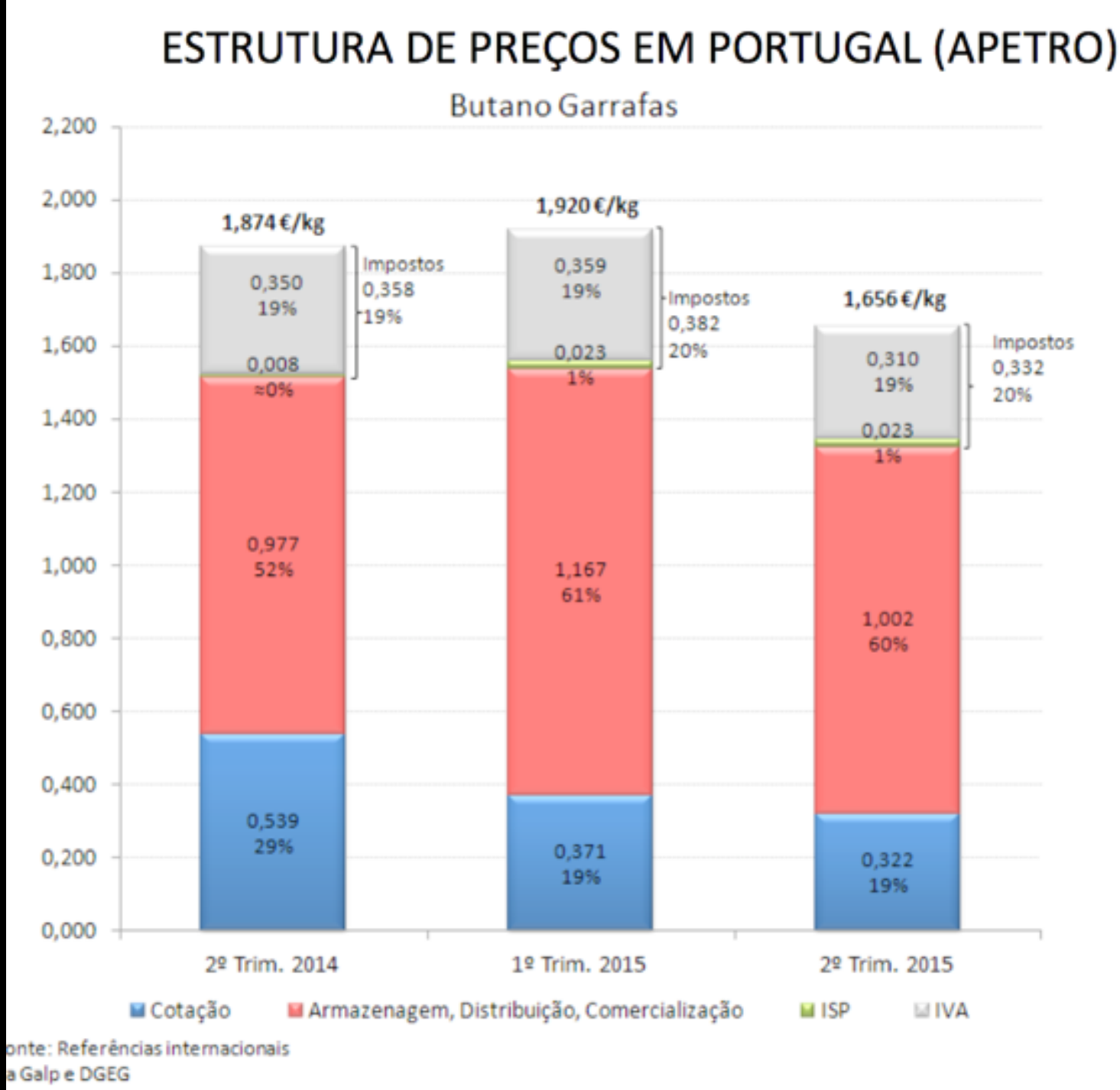
| Residential: | Autogas: | Industrial: |
|---|---|---|
| 1. Italy | 1. Poland | 1. Germany |
| 2. France | 2. Italy | 2. UK |
| 3. Spain | 3. Germany | 3. Spain |
| 4. Germany | 4. Bulgaria | 4. Sweden |
| 5. Portugal | 5. Romania | 5. France |
| 6. Poland | 6. Netherlands | 6. Italy |
| 7. UK | 7. France | 7. Finland |
| 8. Romania | 8. Greece | 8. Poland |
| 9. Greece | 9. Lithuania | 9. Greece |
| 10. Netherlands | 10. UK | 10. Portugal |

## LPG in Europe




Source:
1) Volumes - WLPGA 2013 statistics
2) Market shares - latest DCC estimate of share of addressable market

# LPG Cost structure

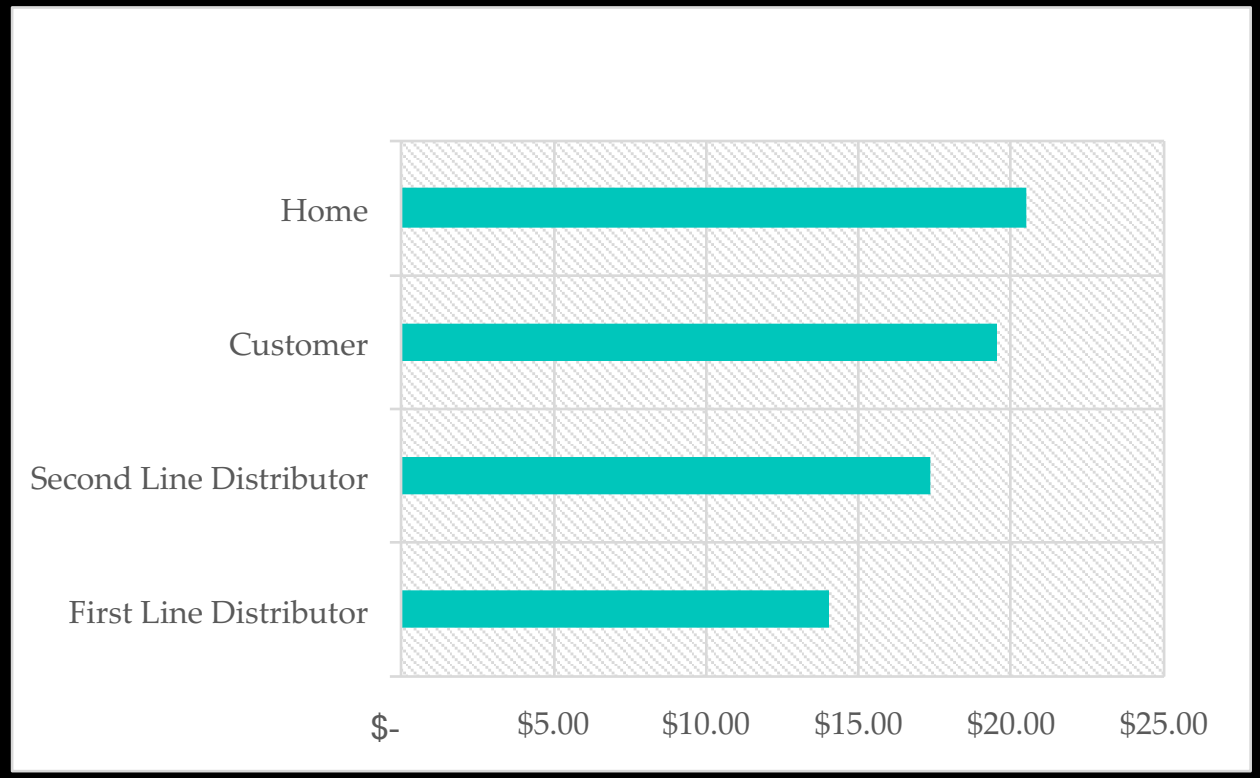


# Margins along the Value Chain

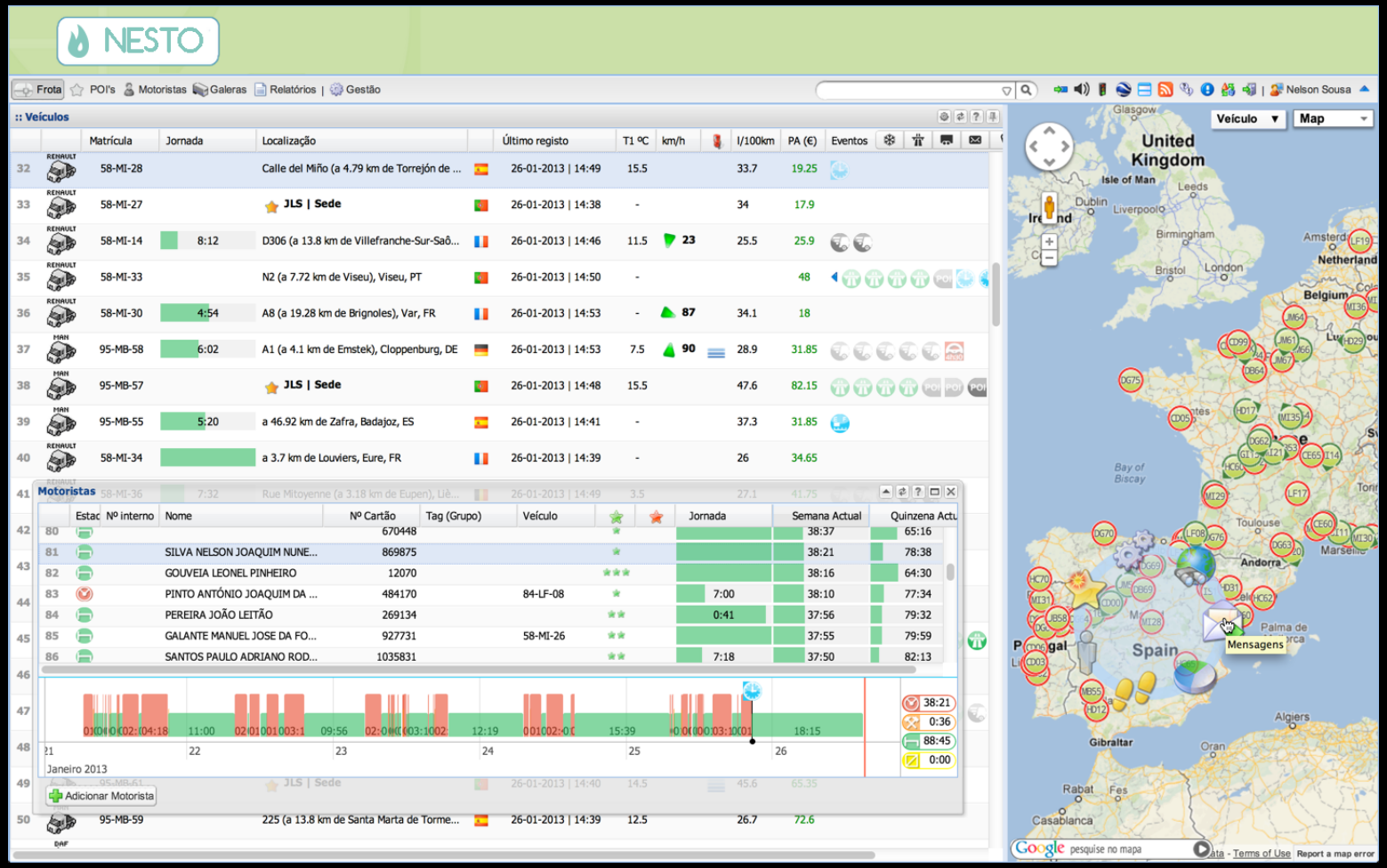
Table 76 – Average margins for butane (13 kg bottle) along the value chain, from February 2007 to February 2009

| Variabale | Stage in the chain | Average | Standard deviation | Confidence interval (95%) | Maximum | Minimum |
|---|---|---|---|---|---|---|
| Prices (€) | First line distributor (a) | €14.02 | €1.15 | [€13.54;€14.49] | €15.52 | €12.34 |
| | Second line distributor (b) | €17,34 | €1.15 | [€16.86;€17,82] | €18.74 | €15.54 |
| | Customer (c) | €19.53 | €1.29 | [€18.99;€20.06] | €21.39 | €17,67 |
| | Home (d) | €20.48 | €1.35 | [€19.93;€21.04] | €22.38 | €18.52 |
| Margins (€) | (e)=(b)-(a) | €3.32 | €0.21 | [€3.24;€3.41] | €3.93 | €3.10 |
| | (f)=(c)-(b) | €2.19 | €0.41 | [€2.02;€2.36] | €3.01 | €1.20 |
| | (g)=(c)-(a) | €5.51 | €0.48 | [€5.31;€5.71] | €6.28 | €4.54 |
| | (h)=(d)-(a) | €0.95 | €0.12 | [€0.90;€1.01] | €1.21 | €0.70 |
| Margins (%) | (e)/(a) | 24% | 3% | [€0.23;€0.25] | 30% | 20% |
| | (f)/(b) | 13% | 2% | [€0.12;€0.14] | 17% | 7% |
| | (f)/(a) | 40% | 5% | [€0.37;€0.41] | 49% | 31% |
| | (h)/(c) | 5% | 1% | [€0.046;€0.051] | 6% | 3% |

Source: Analysis of the Competition Authority based on data from LPG wholesalers




**Source**: Detailed analysis of the liquid fuel and bottled gas sectors in Portugal (2007-2009) - Final Report - Autoridade da Concorrência




- Dynamic deliveries optimization
- Distributor scorecard
- Easy satisfaction

# App & Front-end for Distributors (*)